

Risk Management Guide

Chapter 1: Introduction to Risk

Risk management is the process of identifying, assessing, and controlling threats to an organization's capital and earnings. The
A successful risk management program helps an organization consider the full range of risks it faces. Risk management also ex

Chapter 2: The Monte Carlo Method for Risk

Monte Carlo simulation performs risk analysis by building models of possible results by substituting a range of values for any fa

The main risk model presented in chapter 2 is the Monte Carlo portfolio risk model. This model simulates thousands of correlate

The Monte Carlo risk model requires: definition of risk factors and their marginal distributions, specification of the dependence s